

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION

41 U.S.C. § 1901

Solicitation No. 70Z03826RB0000006

In compliance with Federal Acquisition Regulation (FAR) 13.501(a)(1)(ii), this justification uses the format at FAR 6.104-1 and is modified to state that the procedures in FAR subpart 13.5 are used.

1. Agency and Contracting Activity.

The Department of Homeland Security, United States Coast Guard (USCG), Aviation Logistics Center (ALC), Short Range Recovery (SRR) Product Line, Elizabeth City, North Carolina proposes to enter into a contract on a basis other than full and open competition.

2. Nature and/or Description of the Action being Approved.

(a) Nature of the action: This is a sole source acquisition. The SRR Procurement Branch requests to solicit and award on a sole source basis, a contract for supplies for the pilot, co-pilot, and mechanic aircraft seats on the MH-65E aircraft. This requirement will provide replacement ready for issue supplies for the fleet and programmed depot maintenance program. These supplies are manufactured by BAE Systems Land & Armaments, L.P. (known as BAE), the Original Equipment Manufacturer (OEM) and the only authorized distributor as indicated in Attachment 1.

(b) Name and address of the contractor:

BAE Systems Land & Armaments, L.P.
Cage Code: 54786
7822 S. 46th Street
Phoenix, AZ 85044-5313

(c) Type of action: The USCG, ALC, SRR Division intends to award a Firm Fixed-Price Indefinite Delivery Requirements type contract consisting of a one-year Base Period and four (4) one-year Option Periods, if exercised. The supplies will be procured using individually funded firm fixed-price delivery orders.

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(d) Estimated total value (including options): [REDACTED] broken down as follows:

Period	Length of Period	Total
Base	12 Months	[REDACTED]
Option One	12 Months	
Option Two	12 Months	
Option Three	12 Months	
Option Four	12 Months	
Total		

Note: These supplies were previously awarded under contract 70Z03823DB2000002. The period of performance for this contract is March 22, 2023 through March 21, 2026.

(e) Type of funding: Operations and Support funds

(f) Year of funding: Fiscal Years 2026 through 2031 funds will be used as appropriate.

(g) Solicitation number: 70Z03826RB0000006

(h) Background information about the requirement: The items in this requirement are supplies for the pilot, co-pilot, and mechanic aircraft seats which provide effective supply support for the MH-65E Aircraft. Additionally, they have all been identified through their Acquisition Method Code (AMC) and their Acquisition Method Suffix Code (AMSC) as being sole source to the OEM, BAE.

3. Description of Supplies/Services.

This requirement is for the supplies for the pilot, co-pilot and mechanic aircraft seats to be provided by the OEM, BAE. This requirement will provide replacement ready for issue supplies for the fleet and programmed depot maintenance program. The part numbers for this requirement are listed in Tab 3 of the contract file.

The MH-65E aircraft utilizes three seats on the aircraft, pilot, co-pilot and mechanic seats. The USCG currently operates a fleet of MH-65E aircraft. This specialized, high demand aircraft currently enables the USCG to perform missions such as search and rescue, law enforcement, international ice patrol, marine environmental protection, and marine resource conservation. With a demanding operational tempo, aircraft condition and availability are essential to mission success.

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4. Identification of Statutory Authority Permitting Other Than Full and Open Competition.

The statutory authority permitting other than full and open competition is 41 U.S.C. 1901(e)(2) as implemented by Federal Acquisition Regulation (FAR) 13.501(a) “Sole Source (including brand name acquisition).”

5. Identification of Exception to the Buy American Act.

The Buy American Act is applicable to this J&A requirement; therefore, does not include the exceptions at FAR 25.103(b)(2) for FAR 25.202(a)(2).

6. Demonstration that the Proposed Contractor’s Unique Qualifications or the Nature of the Acquisition Require Use of the Authority Cited.

- (a) The use of 41 U.S.C. 1901(e)(2) is necessary because BAE, located in Phoenix, AZ, is the OEM of the MH-65E aircraft supplies to be purchased under this requirement and only authorized distributor in North America. All supplies purchased and delivered under the contract will require clear, documented traceability to the OEM. Supplies produced by another manufacturer may compromise form, fit and function which will compromise the structural integrity of the aircraft thereby creating a safety of flight risk. A safety of flight risk is never acceptable, therefore, no alternate supplies or deviations from OEM specifications will be considered for this purchase.
- (b) In an attempt to promote competition, extensive market research was conducted (see Section 9 below for market research details). The USCG contacted BAE on August 13, 2025, to determine whether BAE remains the OEM authorized distributor in North America. In response, BAE provided a statement letter dated August 19, 2025, stating that BAE was the only authorized distributor for the supplies in this requirement.
- (c) Alternatives could not be considered because BAE is the OEM and only approved source selling these products. Use of only the OEM will ensure all supplies are manufactured to OEM specifications for form, fit, and function and will include documented traceability of supplies to the OEM. The supplies must operate effectively with various components eliminating safety flight risks.
- (d) If this sole source Justification and Approval (J&A) is not approved, it will jeopardize performance of the USCG’s mission due to grounding of the aircraft as a result of no stock being available as components are required. Additionally, in a fiscal and stock age environment requiring minimal investment in inventory, it is critically important to secure sources that can satisfy the contractual requirements needed to react to ever-changing mission requirements. In order to maintain structural integrity of the aircraft and ensure complete compatibility of replacement supplies, the supplies listed in this requirement must be supplied by the OEM or an OEM approved source. Components supplied by an unauthorized OEM supported

facility will compromise structural and system integrity of the aircraft, putting aircrew personnel and aircraft at a safety of flight risk. The USCG neither compromises nor makes exceptions in matters of human safety and protection of Government property and does not accept lower standards in these matters.

7. Description of Efforts Made to Ensure that Offers are Solicited from as Many Potential Sources as is Practicable.

- (a) This requirement was forecast in the Department of Homeland Security (DHS) Acquisition Planning Forecast System (APFS), APFS No. F2025070497, published on August 12, 2025 and included in the DHS Forecast of Small Business Opportunities. There were no inquiries received in response to the published APFS.
- (b) In accordance with FAR 5.203(a)(2) and FAR 12.603, the proposed contract action will be advertised on the contract opportunities website at SAM.gov as a combined sole source synopsis/solicitation. The estimated date of publication is November 24, 2025.
- (c) The exceptions under FAR 5.202 do not apply to this requirement.

8. Determination by the Contracting Officer that the Anticipated Cost to the Government will be Fair and Reasonable.

The Contracting Officer determines that the anticipated price(s) will be fair and reasonable based on comparison of proposed prices to the Independent Government Cost Estimate (IGCE) (FAR Subpart 13.106-3(a)(2)(vi)), comparison to historical prices paid (FAR Subpart 13.106-3(a)(2)(ii)), or comparison with similar items in a related industry (FAR Subpart 13.106-3(a)(2)(iv)).

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9. Description of Market Research.

In accordance with FAR Part 10, various methods of market research were launched for this requirement.

- (a) Market research was conducted during March 2025 through August 2025 and consisted of internet searches utilizing General Services Administration (GSA) Advantage and Defense Logistics Agency's Federal Mall (FEDMall). A review was conducted of the Asset Maintenance Management Information System (AMMIS) database history. Existing DHS-wide and multi-component contract vehicles with DHS Strategic Sourcing Program Office and on the DHS Enterprise-Wide Contract Vehicle Portal were reviewed and were determined out of scope for this requirement. Based on the extensive research in conjunction with the statement provided by the OEM, on August 19, 2025, this requirement will be Sole Source. A Sources Sought Notice was not issued because the procurement situation would not change. The USCG will maintain open communication with the OEM and will continually conduct surveys to identify possible additional sources that may eventually receive OEM authorization to distribute these supplies.

The Independent Government Cost Estimate was developed using historical pricing data for the same items by adding historical escalation rates to the last recorded purchase in AMMIS or the last used option period pricing of USCG contract 70Z03823DB0000002, currently with BAE Systems. No distributors were identified for this requirement, so no price information was collected. The government should be able to leverage the purchase by using quantities as a negotiating factor.

- (b) This J&A requirement does not include the exceptions at FAR Subpart 25.103(b)(2) or FAR Subpart 25.202(a)(2) for the Buy American Act.
- (c) Market research has been conducted, see section 9(a).
- (d) This requirement does not have or require patents, copyrights, and/or intellectual property.

10. Any Other Facts Supporting the Use of Other Than Full and Open Competition.

- (a) The USCG does not own the necessary technical data required to support the manufacturer of the required supplies. The drawings and technical data are proprietary and available only from the OEM. The USCG did not purchase the rights as part of the original acquisition. Due to the proprietary rights, it will be difficult to take steps to foster competition.
- (b) The supplies in the schedule cannot be reverse engineered and/or modified by other sources, because in order to maintain structural integrity of the aircraft and ensure complete compatibility of the replacement supplies, the supplies listed in this requirement must be obtained from the OEM or an OEM approved source.

(c) The proposed contract shall not be subject to restrictions of FAR 6302-1 for follow-on acquisitions as described in 6.302(a)(2)(iii).

(d) Not applicable to FAR Subpart 6.302-2(d) or HSAR 3006.3020270. This is not considered unusual and compelling urgency.

11. A Listing of the Sources, if Any, that Expressed, in Writing, an Interest in the Acquisition.

No capable sources have expressed an interest in writing, in regard to this acquisition.

12. A Statement of the Actions, if Any, the Agency May Take to Remove or Overcome Any Barriers to Competition Before Any Subsequent Acquisition for Supplies or Services Required.

Complete specifications and drawings for the components are proprietary to the OEM and therefore not available to the USCG. The USCG does not possess the technical expertise nor the software data rights for the components. It is difficult to take steps to foster competition as the manufacturing, performance, and acceptance data are proprietary to the OEM. As the AICP, ALC is tasked with supporting systems that have been deployed for use in the aviation community. In an effort to increase competition among manufacturers, affiliates, and distributors, SRR Product Line members attend annual aviation trade shows and host industry days at the ALC.

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I certify that the data supporting the recommended use of other than full and open competition is accurate and complete to the best of my knowledge and belief.

Date

Justification.

I certify that this requirement meets the Government's minimum need and that the supporting data, which forms a basis for the justification, is accurate and complete.

Date

ALC, SRR

Reviews:

Date

Supervisory Contracting Officer, USCG, ALC, SRR

Date

Date

(PAAC)